For all types of inflation see the chapter with the same title.

INSIDER TRADING

A stock market terminology which means transactions of shares by the persons having access to confidential informations which are not yet public–such persons stand to gain financially out of this knowledge (the person might be an employee, director, etc. of the share issuing company or the merchant bank or the book runner to the issue, etc.). Such kind of trading in stocks is illegal all over the world.

INSOLVENCY

The situation when the liabilities of an individual or a firm to creditors exceeds its assets–inability to pay the liabilities from the assets. Also known as *bankruptcy.*

INVENTORY

The stocks of finished goods, goods under the production process and raw materials held by a firm.

INVISIBLE HAND

A term coined by Adam Smith (in his magnum opus *The Wealth of Nations, 1776*) to denote the way in which the market mechanism (i.e. the price system) coordinates the decisions of buyers and sellers without any outside conscious involvement. For him this maximises individual welfare.

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